IN THE SUPREME COURT OF THE STATE OF MONTANA

Case No: DA 23-0030

WILLIAM M. SOLEM and ELLEN G. SOLEM

v.

STATE OF MONTANA, DEPARTMENT OF REVENUE

On Appeal from the Eleventh Judicial District Court, Flathead County, Cause No. DV-10-073 (D), Honorable Dan Wilson

APPELLEES' PETITION FOR REHEARING

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COME NOW the Appellee Petitioners, William and Ellen Solem ("Solems"), individually and as class representatives, and respectfully Petition the Court for Rehearing pursuant to Mont. R. App. P. 20.

I. INTRODUCTION

This Petition for Rehearing seeks review of the Court's September 24, 2024 Panel Opinion as it relates to the application of mass appraisal methodology for certain Flathead Lake properties. Given the significant ramifications of the current published decision, it is essential all seven justices review this Petition. The Panel's Opinion, if allowed to stand, creates a precedent under which there is essentially no circumstance where the Department of Revenue's appraisal methodology can be challenged. The Panel's Opinion conflicts with controlling law by eliminating the fact-finding obligations of the fact-finding entity (whether that be the district court in a bench trial or an administrative review board such as the State Tax Appeal Board), and by ceding all determinations as to the legality of agency actions to the very persons in an administrative agency that are responsible for the challenged actions. The result relieves the Department of Revenue of any oversight, deprives the statutory fact-finder of any role in the challenge process, and deprives the challenging party of any meaningful opportunity to challenge

illegal Department of Revenue actions. The Panel Opinion also overlooked dispositive material facts presented during the course of the bench trial in this case.

II. GROUNDS FOR REHEARING

This Court considers a petition for rehearing upon the following grounds: "(i) That it overlooked some fact material to the decision; (ii) That it overlooked some question presented by counsel that would have proven decisive to the case; or (iii) That its decision conflicts with a statute or controlling decision not addressed by the supreme court." Mont. R. App. P. 20(1)(a). Here, there are two bases for accepting this Petition. First, the Panel Opinion conflicts with precedent set in *Peretti v. State, Dep't of Revenue*, 2016 MT 105, ¶ 3, 383 Mont. 340, 372 P.3d 447 and inadvertently expands *Peretti* far beyond what was intended and what the law allows. Second, this Court's Opinion overlooks dispositive material facts presented during the course of the bench trial.

A. The Panel Opinion conflicts with the Peretti decision and nullifies § 15-1-406, essentially eliminating any right to challenge the DOR's methodology.

After expending hundreds of hours of judicial resources, including carefully listening to testimony from two nationally recognized mass appraisal experts during the course of a 4-day bench trial, the District Court entered a thoughtful and

carefully drafted thirty-four page Findings of Fact and Conclusions of Law, as it was required to do as the fact-finder in this case. The Panel Opinion summarily dismisses these findings, holding the District Court may not "engage in a 'wholesale substitution' of its opinion for the opinion of the agency." Panel Opinion at ¶¶ 17, 23-24 (citing *Peretti*, ¶ 17).

However, the Panel Opinion overlooks a key point when applying *Peretti* in this way, resulting in a dramatic expansion of administrative agency power under Montana law: when the *Peretti* decision was issued, the "opinion of the agency" entitled to deference was the opinion of the State Tax Appeal Board ("STAB") issued after a contested case hearing, and not the opinion of the Department of Revenue ("DOR") which imposed the challenged appraisal in the first place. In *Peretti*, the district court erred by substituting its opinion for the opinion of the STAB, the administrative board serving as the fact finder in the case. This distinction is key. The district court in *Peretti* was not the fact-finder, it served as an appellate court tasked only with reviewing the STAB decision. *Peretti*, ¶ 17.

The *Peretti* case involved a dispute "over the appraised value of [the Peretti's] .461 acre residential lot with 159 feet of Flathead Lake frontage…" *Id.*, ¶ 3. The Perettis challenged the DOR's appraised value of their property to County Tax Appeal Board and received a reduction in the appraised value, and then

appealed again to the STAB. *Id.*, ¶¶ 3-4. The STAB conducted a contested case hearing, as required by statute, and received testimony from the parties' expert witnesses, weighed evidence, and made determinations on the credibility of witnesses. *Id.*, ¶ 12.

Reviewing the appeal from STAB, the district court "evaluated and weighed the testimony from the STAB hearing" and "disagreed with STAB's weighing of the evidence and its determinations of witness credibility," ultimately finding the STAB's ruling was "clearly erroneous". *Id.*, ¶¶ 12-13. The Montana Supreme Court reversed the district court and reinstated the STAB decision, explaining:

> A district court may not substitute its judgment for the judgment of STAB as to the weight of factual evidence, § 2–4–704(2), MCA; may not engage in a "wholesale substitution" of its opinion for the opinion of the agency, *O'Neill v. DOR*, 2002 MT 130, ¶¶ 22–23, 310 Mont. 148, 49 P.3d 43; and may not re-weigh the evidence on questions of fact, *Benjamin v. Anderson*, 2005 MT 123, ¶ 37, 327 Mont. 173, 112 P.3d 1039.

Peretti, ¶ 15 (emphasis added); see also *O'Neill*, ¶ 22 ("…district court as a reviewing court could have reversed or modified STAB's decision and remanded the case for further proceedings" but could not apply "its own analysis in place of that applied by STAB."); § 2-4-704 (in a judicial review following a contested case hearing, the district court "may not substitute its judgment for that of the agency as to the weight of the evidence on questions of fact…").

The *Peretti* Court found that the district court erred because it engaged in a wholesale substitution of its opinion for that of STAB, something it was not entitled to do because "[t]he role of a district court conducting judicial review of an administrative decision is limited to a review 'confined to the record' of the agency, and the court does not act as a trier of the facts." *Id.* (citing Section 2-4-704(1), MCA; *Mercer v. McGee*, 2008 MT 374, ¶ 22, 346 Mont. 484, 197 P.3d 961). The *Solem* case is different, because the District Court was not a "reviewing court" as it was in *Peretti*.

In the Solems' case, there was no STAB decision appealed to the District Court following a contested case hearing. Instead, the Solems challenged the DOR's appraisal methodology by filing a class action directly in the District Court pursuant to § 15-1-406, which expressly permits an aggrieved taxpayer to bring a declaratory judgment action challenging the DOR's appraisal methodology in the district court rather than seeking to have their appraisal adjusted through the County Tax Appeal Board and STAB.

Unlike *Peretti*, in the Solem's case the District Court did not conduct a judicial review of an administrative decision from a contested case hearing, but rather acted as the trier of fact. As the fact-finder in a case filed pursuant to § 15-1-406, the District Court was tasked with taking testimony from the parties'

expert witnesses, weighing the evidence, and making determinations on the credibility of witnesses, something the Panel Opinion overlooks in finding that the District Court was not entitled to substitute its opinion for the opinion of the "agency".

The Panel Opinion confuses which agency is entitled to deference. The Panel Opinion does not give deference to the findings of fact and agency decision of STAB following a contested case hearing, rather, it gives deference to the DOR – the very agency with regard to the very action that the Solems allege is an illegal method of taxation. In doing so, the Panel Opinion essentially eliminates the statutory right to bring a declaratory judgment against the DOR, by stripping the district court of its right to weigh evidence, make credibility determinations, and ultimately to make findings of fact that differ from the DOR's position. The result is unfettered assessment authority on the part of the DOR, and a nullification of Mont. Code Ann. § 15-1-406. This error of law warrants reconsideration of the Panel Opinion.

B. The Panel Opinion conflicts with the Peretti decision by conflating review of a DOR appraisal with review of the DOR's methodology.

The Panel Opinion also holds the outcome in the *Peretti* case is not distinguishable from the Solems' case. Panel Opinion at ¶¶ 20-21. However, in doing so the Panel Opinion conflates a review of DOR "methodology" with a

review of a single DOR "appraisal", and in doing so again creates a precedent under which there is no viable avenue for challenging the DOR's mass appraisal methodology as provided for under § 15-1-406.

The *Peretti* Court considered the Peretti taxpayers' appeal of an appraised land value, which was assessed using the same 29-sale base lot model at issue in the Solem case. *Peretti*, ¶ 19. However, in *Peretti*, only a single property appraisal was at issue; specifically, the appraised value of the Peretti's lot. *Id.*, ¶ 3 ("this is a dispute…over the appraised value of [the Perettis'] .461 acre residential lot with 159 feet of Flathead Lake frontage…"). In challenging the appraised value, the Perettis focused on whether the appraised value was correct, and failed to meet their burden of overcoming the presumption that the DOR's appraisal, following adjustments made by the County Tax Appeal Board and affirmed by STAB, was correct. *Id.*, ¶ 14. In other words, the Perettis challenged the accuracy of the outcome, not the method of achieving the outcome, and the *Peretti* Court found the outcome imposed by STAB was correct.

The Solems took a different approach. They did not challenge whether the appraised value of their lakefront lot on Flathead Lake was correct, and opted not to appear before the County Tax Appeal Board or the STAB seeking a reduction in appraised value. Instead, Solems filed a direct action in the District Court pursuant

to § 15-1-406 and challenged the DOR's mass appraisal methodology, arguing that the DOR's 29-sale base lot model used to value all lakefront property in their neighborhood (defined as Neighborhood 800), was illegal and improper. Their case was certified as a class action, such that all lakefront property owners in Neighborhood 800 who had paid their taxes under protest – class members owning a total of 156 properties – were a part of the challenge to the DOR's method of calculating lakefront property appraisal values. The District Court heard extensive testimony and determined that regardless of the appraised values ultimately assessed, all had valuations that were assessed based on an illegal and improper methodology. (FOF/COL, ¶ 71). The District Court was not tasked with determining how to fix the DOR's appraisal methodology, only with determining whether the actual methodology employed was improper or illegal.

Underscoring this key difference between the *Peretti* case and the Solems' case, the Solems presented three highly qualified expert witnesses, all of whom testified the 29-sale base lot model did not accurately capture property values because it failed to take into account all of the variables impacting value. In the *Peretti* case, however, the Perettis' expert witness did not even know the DOR's appraisal methodology relied upon a model utilizing three different variables. *Peretti*, ¶ 8. The *Peretti* Court did not find the DOR's methodology for

Neighborhood 800 was accurate or correct. Rather, the *Peretti* Court upheld the STAB's finding that the DOR's appraised value of the Peretti property, as subsequently adjusted by the County Tax Appeal Board, accurately reflected market value. *Id.*, ¶¶ 3-5, 12, 19.

The distinction between the *Peretti* case and the Solems' case, which is the distinction between challenging a single appraisal and challenging the overall methodology applied by the DOR to an entire neighborhood, is of paramount importance. The *Peretti* case does not foreclose the Solems' position, as the Solems brought an entirely different type of action under a different framework, as permitted by § 15-1-406. The misapplication of the *Peretti* decision in this regard also warrants reconsideration of the Panel Opinion.

C. The Panel Opinion overlooks material facts.

The Solems had three experts carefully evaluate the DOR's methodology and opine on the sufficiency of the methodology. The Panel Opinion finds there "was notable disagreement between the Solems' expert's as to the alleged flaws in the DOR's methodology." Panel Opinion at ¶ 22. However, this overlooks a key material fact – the fact that all three of the Solems' experts agreed the DOR's methodology was flawed precisely because it did not sufficiently account for variations in land features.

Steve Hall testified "…the physical characteristics of land deal with considerably more than the front foot or size and depth…physical characteristics of a property relate to topography, slope, soils, access, access to utilities, ground cover, on-site water…so there are a lot of other variables in comparing vacant land. So in the Department of Revenue's analysis, nowhere has it addressed those other physical characteristics." (Tr. Trns. Vol. I at 234:1-16).

Similarly, Cindy Smith-Paige explained the credibility of the DOR's model was destroyed because the qualitative variable in the DOR's model, which was intended to capture all of the physical characteristics described by Steve Hall by applying either a positive or negative factor, was not utilized as the DOR opted to apply only the positive influence factor and declined to use any negative influence factors so as to artificially manipulate values. Thus, DOR's application of the qualitative variable could not capture the positive and negative property characteristics (Tr. Trns. Vol. II at 575:19-579:19).

Finally, David Lennhoff testified that the qualitative variable also fails to account for gradations in value, explaining that property features such as slope and trees are "not a you have it or you don't have it question" and therefore cannot be adequately addressed by the qualitative variable which is a binary or "dummy" variable that simply adds or subtracts a factor. (Tr. Trns. Vol. II at 669:19-671:19).

While each of the Solems' experts considered different options for addressing the errors in the DOR's methodology, they all agreed the DOR's methodology failed to adequately account for all relevant land features, resulting in inaccurate and improper valuations. The failure to account for this dispositive material fact warrants reconsideration of the Panel Opinion.

III. CONCLUSION

The Petition for Rehearing should be granted and the current Panel Opinion should be withdrawn. A new Panel, or en banc Court, should reevaluate the District Court's findings and conclusions and render a decision based upon a thorough analysis of the District Court's extensive review of the evidence and evaluation of witness credibility, keeping in mind that the District Court was acting as the trier of fact, and not as a reviewing court for a prior agency decision. The members of the Court are urged to correct the dramatic expansion of agency power that, even if unintentionally, results from the current Panel Opinion.

DATED this 9th day of October, 2024.

This petition for rehearing contains 2465 words, is double spaced, and is set in Times New Roman, 14-point type, as certified under MRAP 11(4)(e) and MRAP 20(3).

MILODRAGOVICH, DALE & STEINBRENNER, P.C.

/s/ *Rachel H. Parkin*
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CERTIFICATE OF SERVICE

I hereby certify that I have filed a true and accurate copy of the foregoing APPELLEES' PETITION FOR REHEARING with the Clerk of the Montana Supreme Court; and that I have served true and accurate copies of the foregoing APPELLEES' PETITION FOR REHEARING upon the following via the State's eService platform:

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